Tesla, Inc.

TSLA NASDAQ

Hold	$324.07 ▼ 13.35%	12M Price Target **$340.00**	52-Week Range $297.82 – $498.83	Market Cap $1.22T

TSLA: Musk's 'Patience' Pitch Backfires, Stock Craters 13%

WHAT HAPPENED

- Tesla just had its worst day in over a year — down 13% on huge volume (42M shares, ~40% above normal). The trigger: Musk on the earnings call basically told investors to be "patient" on robotaxi and Optimus (the humanoid robot). Wall Street has been paying an AI-company premium for a car company specifically because those two things were supposed to be near-term — "patience" is the exact wrong word.
- The quarter itself wasn't bad — $28B in revenue, record deliveries, Semi truck ramping. But nobody cares about the car business at this multiple. Also: Musk floated a possible Tesla-SpaceX merger, which spooked people who worry about governance and dilution.

WHY IT MATTERS

This is a story-stock reality check. TSLA has been trading like a bet on autonomy and robotics, not on selling cars — and when the CEO says "be patient," the whole valuation math breaks because the discount rate on far-off cash flows spikes. The put option flow is screaming — traders paid ~$120M in premium for July puts at $330-340 strikes (options that pay off if the stock falls below those levels), and given today's close at $324, those bets just printed. Watch for a second leg down: when a momentum name loses its narrative, the algo/retail crowd often capitulates 5-10% below the initial break, which would put $290-300 in play before real buyers show up.

POLICY & POLITICAL WATCH

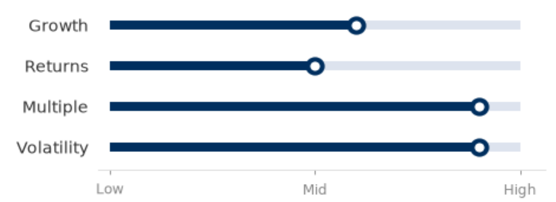
The big overhang: the federal EV tax credit ($7,500 per vehicle) was gutted in the 2025 budget reconciliation package and phases out entirely at the end of September 2026 — that's a direct hit to Tesla's US demand into Q4. On the flip side, the administration's push to loosen NHTSA autonomous vehicle rules is a genuine tailwind for robotaxi — federal preemption of state-by-state AV rules is being drafted and could give Tesla a national permitting framework. Tariff angle: continued China tariffs help Tesla's US-made cars vs. BYD imports, but hurt their Shanghai-sourced battery components — net-net probably a small negative for margins.

IS IT EXPENSIVE?

Even after today's drop, you're paying about 150x forward earnings — meaning $150 for every $1 of profit the company is expected to make next year. For context, Ford and GM trade at 6-8x. That premium only makes sense if you believe robotaxi and Optimus are real businesses within 2-3 years — and today Musk basically said "not that soon," which is why the multiple is compressing. At $324 the stock is only 13% off its 52-week low, telling you the tape has broken.

Key Data	
Price (USD)	**$324.07**
12M Price Target	**$340.00**
Upside / (Downside)	**+4.9%**
Market Cap	**$1.22T**
FY2026E Revenue	**$108M**
FY2027E Revenue	**$128M**
FY2026E EPS	**$2.15**
FY2027E EPS	**$2.80**
Fwd P/E	**150.7x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500

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TSLA — Tesla, Inc. | July 23, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$360.00**	$325.00	**$290.00**
6 Months	**$420.00**	$340.00	**$260.00**
1 Year	**$480.00**	$355.00	**$240.00**
2 Years	**$600.00**	$400.00	**$220.00**
5 Years	**$900.00**	$500.00	**$180.00**
10 Years	**$1500.00**	$700.00	**$150.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+1.9%) and Industrials (+1.8%) are catching bids — reflects the administration's fossil-fuel-friendly stance and reshoring/defense spending. Traditional autos are quietly benefiting from EV credit repeal.

COOLING OFF: Tech (-0.5%) is soft, and within tech the "AI story stocks" are getting re-rated — investors want proof, not promises. That's exactly Tesla's problem today.

ROTATION WATCH: Money is rotating OUT of long-duration story stocks (Tesla, unprofitable AI names) and INTO cash-flowing industrials and energy. That's a headwind for TSLA specifically until it can prove near-term robotaxi revenue.

RELATED PLAY: If you want the AV theme without the Musk risk, look at Mobileye (MBLY) or the sensor suppliers — they get paid whether Tesla or Waymo wins.

WHO'S WINNING IN THIS SPACE?

- GM (General Motors): Winning as EV credit repeal hurts pure-plays more than diversified automakers with strong ICE cash flow
- BYDDY (BYD): Continues taking global EV share — 40%+ delivery growth while Tesla grows single digits

TSLA CONTEXT: Tesla is badly lagging its peer group today and over the last month. When a stock trades at 150x earnings and starts underperforming lower-multiple peers, the multiple compression can get ugly fast. This is a "prove it" moment, not a buy-the-dip moment.

WHAT I'D DO WITH THIS STOCK

5/10 Conviction Score

CONVICTION: 5/10 — Neutral. Great company, wrong price, and the narrative just cracked. I want to see either a lower entry or tangible robotaxi proof before getting excited.

POSITION SIZE: 2-3% max if you own it. This is not a "back up the truck" moment — the volatility is too high and the catalyst path is too foggy.

ENTRY POINTS: I'd wait for $290-310 before adding. Historically, TSLA overshoots to the downside on narrative breaks, and there's no technical support until the low $300s and then $280.

TIME HORIZON: 12-18 months — you're waiting for either paid robotaxi rides at scale or Optimus commercial units. Both are 2027 stories at best.

WHEN TO BAIL: If Q3 auto margins fall under 12%, or if Musk formally proposes the SpaceX merger, or if robotaxi gets pushed to 2028 — any one of those and I'm out.

HEDGING: Simplest hedge — own a smaller position and keep cash on the side. If you want to get fancy, buy a put spread (pay a small amount for the right to sell at $310, offset by selling the right to sell at $270) — costs a little, caps your downside if this keeps falling.